Office Of The Assistant Commissioner Of Customs
26 JUN 2018
SAHAR, MUMBAI - 99

(68) (11) (48)

OFFICE OF THE COMMISSIONER OF CUSTOMS - II
(SPECIAL CARGO COMMISSIONERATE)
AWAS CORPORATE POINT, MAKWANA LANE, ANDHERI-KURLA ROAD,
SAHAR ANDHERI (EAST), MUMBAI-400099

F.No. Air SCC/01-06/2018-19 Admn. Date: 26.06.2018

STANDING ORDER NO. 14 /2018

Subject: Clarification on personal imports by Post -reg.

Attention is invited of all officers working in Airport Sorting Office (APSO) having office at Speed Post Centre, Near Domestic Airport, Vile Parle (East), Mumbai - 400 099 to Board Circular No. 14/2018-Customs dated 4th June, 2018 on the above mentioned subject.

2. As you must be aware that in the budget of 2017, Chapter heading 9804 was amended to cover all types of personal imports, whether by post, courier, air or sea. Note 4 to chapter 98 was also amended to exclude from heading 9804, motor vehicles, alcoholic beverages and tobacco products.

3. Also, the Foreign Trade Amendment Order, 2017 dated 25.072017 has amended clause 3(1) (i) of the Foreign Trade (Exemption from application of rules in certain cases) Order, 1993, and now reads as under:

3. Exemption from the application of rules. -

(1) Nothing contained in the Rules shall apply to the import of any goods,

(i) by any person through the post or otherwise for his personal use subject to compliance of other Laws/Rules/ Orders/Regulations in force.

4. By issue of notification 16/2015-20 dated 12th July 2017, DGFT has removed the value cap of Rs 2000.00 w.r.t to personal imports, as well as, fully aligned the chapter notes in ITCHS with those enacted under Chapter 98 of the Customs Tariff. Personal imports would be considered as "free", except those items which are appearing in the list of "restricted" items or "prohibited" items or where they are regulated by any other law for the time being in force, subject to a de-minimus clause or a clause for personal imports provided in such law. (As regards definitions of the words "restricted" and "prohibited", Chapter 9 of the Foreign Trade Policy 2015-20 may be referred)

5. The net effect of all the above changes is that any personal import, whether by courier or post or by Air or Sea shall be classified under tariff heading 9804 of the Customs Tariff.

6. In this connection, clarification has been sought as to what constitutes personal import? Customs Act, 1962 does not define personal import. However, the Handbook

of Procedures carries a definition of personal imports in para 2.07 (a) (iii), which is as follows:-

> "Persons importing or exporting goods for personal use not connected with trade or manufacture or agriculture."

7. Further, where an IEC code becomes necessary, such as for filing a Bill of Entry, the HBOP provides for using a default code (0100000053) for:

> **Persons/Institutions/Hospitals importing or exporting goods for personal use, not connected with trade or manufacture or Agriculture.**

8. Accordingly, all officers of APSO are advised to rely upon the above definitions for the purposes of determining whether an import falls within the chapter heading 9804.

9. In so far as imports by post are concerned, it is recognized that Posts is a unique eco-system of clearance in comparison with other modes of clearance of imported goods. Unlike other ecosystems, imports by post are both trackable as well as non-trackable. Manifests, as available in other eco-systems, containing details of consignor/consignee, their addresses and value/description of goods are not being captured or exchanged universally between postal authorities. Data exchange between postal authorities, globally, is at very nascent stages / pilot stages. India Post is still in the process of joining data exchange systems, such as UPU-WCO's SECUREX and other systems which are being worked out bi-laterally with some other countries. In other words, the basic prerequisite of release of goods, namely, filing of declaration and deposit of duty, cannot be provided with any consistence in the current postal environment.

10. Keeping the above in view, chapter XI of the Customs Act was amended by deleting section 82, while section 84 was amended to provide for issue of regulations to provide a form and manner for making entry in respect of imports and exports by post. However, compliance to a system for filing of declaration for personal imports requires a robust electronic communication system between an importer and Customs/Post. Such a system requires added functionalities in postal tracking system, which are still underway, and therefore the traditional system of relying upon CN 22 and CN 23 will continue for the time being. It may be noted that under notification 50/2017 - Cus dated 01.07.2017 (Sl. No. 608A) bonafide gifts up to a CIF value of Rs 5000=00 (Rs. Five Thousand only) intended for personal use have been exempted from duty.

11. In view of the amendments carried out to heading 9804, it follows by principle of exclusion, that imports by a legal person (firms, companies, other forms of business entities) or which are for trade, manufacture or agriculture, cannot be regarded as personal imports and shall not fall within CTH 9804. Such imports by post shall be

classified as per Customs Tariff and shall require an IEC, except as provided under para 207 of the HBoP 2015-20.

12. As can be inferred from above discussion that any import other than personal would be in furtherance of business, there is a requirement of filing a declaration, payment of customs duties & IGST, which is to be available as credit to the importer. Also, compliance of foreign exchange remittance for imported goods requires a customs declaration. All these requirements necessitate filing of a bill of entry, which is not possible in the postal clearance eco-system. Accordingly, **imports by legal persons or imports connected with trade or manufacture or agriculture would require that the importer file a bill of entry at a jurisdictional customs station with EDI facility for payment of duties provided that the CIF value exceeds Rs 1000 (Rupees One Thousand only) [notification 50/2017 Sl. No: 610 refers].**

13. It may also be noted that **import of commercial samples under notification 154/94-Cus dated 13.7.1994, as amended, warrants filing a Bill of Entry as it is limited to IEC holders and subject to various other conditions including value limits.**

14. Above instructions need to be followed scrupulously.

15. Difficulties, if any may be brought to the notice of Deputy Commissioner , APSO immediately.

VINAY BRIJ SINGH
COMMISSIONER OF CUSTOMS,
APSC, MUMBAI.

To :-

1. Chief Commissioner of Customs, Mumbai Zone- III.
2. All Commissioner of Customs, Mumbai Zone- III.
3. All Addl./Jt. Commissioner of CustomsMumbai Zone- III.
4. All Asst. /Dy. Commissioner of Customs, Mumbai Zone- III.
5. Asst./Dy. Commissioner of Customs, EDI for uploading on website.
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